

value for the creditor; why cancel a discharged debt when they can make good money off it? It's maddening.

An article in *BusinessWeek* as recent as November 2007 uses the headline, "Prisoners of Debt: Big lenders keep squeezing money out of consumers whose debts were canceled by the courts." The problem exists, but to date, nothing is being done about the abuse. Our bankruptcy laws are supposed to protect citizens, but this is a great big loophole and lots of money grubbers are crawling right on through.

The FCC has issued formal opinion letters stating that credit bureaus are supposed to report when debts have been discharged, but there is no law requiring this. The Fair Credit Reporting Act requires the bureaus to assure accuracy in their reports, but they rely on the creditors to let them know. Accountability measures are vague, if they exist at all. Is it up to the creditor or the credit reporting agency? Neither one seems to care.

In Dan's case, the credit reporting agency didn't realize his debt had been canceled because GreedyBank never forwarded that information. GreedyBank didn't bother discharging the debt since they knew there was a possibility to still make money off it. It's a case of grade school mentality; "I don't have to, so you can't make me." Basically, no one is watching the store, and creditors are robbing unwary consumers of millions of dollars. Dollars that were from debts that had been legally discharged, wiped off the books!

What's wrong with our country's lawmakers?! A person goes through the ordeal of bankruptcy, has debts discharged, but then nobody really wipes them out and the debt still lingers on. Bankruptcy law prohibits the collection of discharged debt, but obviously no one is enforcing that law, and it has turned into big business.

Luckily for Dan, he filed a motion in bankruptcy court charging that GreedyBank never updated his credit report. GreedyBank did not respond to this charge, so the judge ordered the company to re-pay Dan the \$9500, plus an additional \$14,000 in fines and attorney fees.

Although Dan did pay the debt in order to get his mortgage, he was able to get his money back. Just one more golden reason to monitor that credit report. Make sure debts that have been canceled are removed.